

The Law of Sale of Goods

Special Contracts II

What is contract of sale ?

A contract of sale of goods is defined under Article 2266 of the Code Code of Ethiopia as :

A CONTRACT OF SALE IS A CONTRACT WHEREBY ONE OF THE PARTIES, THE SELLER (the person who sells or agrees to sell goods), UNDERTAKES TO DELIVER A THING AND TRANSFER ITS OWNERSHIP TO ANOTHER PARTY, THE BUYER (the person who buys or agrees to buy goods), IN CONSIDERATION OF A PRICE EXPRESSED IN MONEY WHICH THE BUYER UNDERTAKES TO PAY HIM.

In this Civil Code, unless the context or subject matter otherwise requires, ‘contract of sale’ includes an agreement to sell as well as a sale”. Where under a contract of sale the property in goods (the ownership) is transferred from the seller to the buyer the contract is called a ‘sale’.

- The transaction is said to be sell even though the price is payable at some future date provided that the the ownership of the goods is transferred.
- Where the transfer of goods is set for some future date subject to some condition to be fulfilled later, the contract is called a contract of sale.

Subject-matter of the Contract of Sale

ART. 2267. - APPLICATION OF THIS CHAPTER. - 1. CORPOREAL CHATTELS.

(1) THE PROVISIONS OF THIS CHAPTER SHALL APPLY TO THE SALE OF **CORPOREAL CHATTELS**.

It is clear from above provision that the contract must be in respect of “Corporeal Chattels” or “Goods”. “Corporeal Chattel or Goods includes all personal chattels other than things in action and money; and in particular ‘goods’ includes emblements, industrial growing crops, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale”.

“Things (or choses) in action” are intangible rights that cannot physically be handled – such as patents, copyrights, shares, securities, etc. – and “emblements” are products created by annual industry, or the profits of a crop which has been sown.

Class of Goods

Goods fall into different categories, and inevitably somewhat different rules must apply to them. The Civil Code breaks them down into “existing goods” and “future goods”.

- “The goods which form the subject of a contract of sale may be either existing goods owned or possessed by the seller, or goods to be manufactured or acquired by him after the making of the contract of sale, in this Civil Code called future goods”.
- Secondly, goods can be “specific”, “ascertained”, or “unascertained” are goods which are identified and agreed on at the time a contract of sale is made”. “Unascertained” goods are not defined by the Act, but by necessary inference mean goods which have not been specifically identified at the time of the contract as the actual goods, the ownership of which will pass to the buyer.

- (a) **Existing Goods** They are goods which are actually in existence – that is, substantially in a state in which the possession of them is capable of being transferred, at the time the contract of sale is made.
- (b) **Future Goods** These are goods which are not in existence at the time of the contract. Therefore, there cannot be a sale of them at that time, but only an agreement to sell when the goods are actually in existence. S.5(3) makes this clear: “Where by a contract of sale the seller purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods”. Goods that fall into this category may have to be manufactured before they become specific, or they may have to be grown. A contract to sell next year’s barley crop from a particular field is an agreement to sell that crop when it has been grown. An agreement to sell future goods is, of course, a contract like any other, and if the seller fails to produce the goods at the proper time he (or she) will be in breach. There are, however, two points to note. Firstly, this is one area where equitable principles do not apply. A buyer cannot get an order for “specific performance” of a contract for future goods.

(c) Specific Goods Specific goods are not only existing goods but are essentially the actual goods which will pass under the contract. If you want to buy a dozen screws, you can go to a DIY shop and take off the shelf a packet containing 12 screws. These are specific goods.

(d) Ascertained Goods Ascertained goods are goods identified by both parties, e.g. “two of those bottles of port”. In the Act, they are treated as specific goods.

(e) Unascertained Goods are Goods which are in existence (usually), but which have not been specifically identified as the goods forming the subject - matter of the sale, are “unascertained”. When they have been so identified, they become “ascertained”.

Goods – at least specific goods – are tangible things which you can physically handle. But the mere fact that I can handle something does not necessarily mean that I own it. I may have found it abandoned, or have been lent it, or have stolen it. In none of these instances am I the rightful owner. There are then four definitions which are fundamental, and which occur throughout the subject. It is most important not to confuse them.

- **Property** The “property” in goods is the ownership of them – the highest right to those goods that a person can have.
- **Title** “Title” to goods is often used as being synonymous with “property”. But strictly it is the “right” to a person’s property in goods, or the means whereby the right has accrued to him, and

by which it is evidenced. Or, as Blackstone defined it over two centuries ago, “the means whereby an owner has the just possession of his property”.

- **Possession** This is the physical control of the goods, or possession of them. It has no necessary connection with the property in them. If I steal something, I have possession of it, but I do not have the property in it, nor any title to it. Indeed, I do not even have a right to possess, and the right to possess may be vested in X, neither in me nor in the owner.
- **Risk** The “risk” in goods is the responsibility for loss, damage or destruction of those goods. It is not necessarily coincident with either property in or possession of those goods. We shall be dealing with “risk” in the next study unit.

Modes (Methods) of Transfer of Title

How do we transfer ownership of goods ? : - The subject matter of sale contract is corporeal chattel (movables). Hence, the mode of transferring ownership for corporeal chattel is delivery.

Delivery is the voluntary process of handing over goods from one hand to another. Ex. 1 Mr. B agreed to purchase 1000 tones of cement from Muger Cement Factory to be delivered after six months. Here the cements are not present and yet to be manufactured. Ex. 2. Mr S agreed to supply steel bar for Mr. B. however those steel bars are in Turkey to be imported. Thus although the goods existed at the time of contract, they are at ownership of third parties.

1. Actual (Physical) delivery : - This mode of delivery refers to physical handing over of goods from the seller to the buyer. Ex. Mr. B purchase 100 bar of soap from S, then S handover soaps packed through carton. Here goods are actually transferred from S to B.

2. Symbolic Delivery :

As opposed to actual delivery, symbolic delivery refers to mode of delivery where goods are not delivered to the buyer except for something that represent the goods. Ex. Warehouse receipt

3. Constructive Delivery : - If 3rd party possess or keeps the goods acknowledging that the goods are hold for account of the buyer. Ex. If Mr. S rent his generator to TP after one month S sold this generator to B. then since the rent for generator was for six months TP acknowledge that he will keep the item to B.

4. Delivery with Short Hand (*Traditio longa manu*) : here the buyer already takes the possession of goods before contract of sale. Ex. If Mr. S rent his generator to B after one month he decided to sell the same to B. Then since B has already took possession, it is called delivery at short hand.

5. Constructive *bravi manu* : This is when the seller takes the possession after having sold the goods to the buyer. Ex. If Mr. S sales his generator to Mr. B and rent the same generator from B. then he acknowledge that he will keep the item for account of B.

6. Delivery to whar finger or currier : - Here the delivery is not made to the buyer but it is made to the buyer through currier. EX DHL or EMS .

Place of Delivery (Where should the Seller handover the goods?)

- The civil code does provide the place where, at the time of the contract, the Seller had his place of business or, failing such, his normal residence shall be the place of delivery.
- **Time of Delivery** If a time is stated in the contract for the delivery of goods, it may be a condition of the contract, breach of which entitles the buyer to cancel the contract and refuse to take delivery; or it may be a warranty, which entitles the buyer only to seek damages for any loss entailed by reason of late delivery.
- If, therefore, the contract does not expressly state that time shall be of the essence, or make any other statement to the same effect, the law looks to the nature of the contract and the character of the goods dealt with to resolve the question

Warranties

“**Warranty**” is a term of a contract breach of which entitles the injured party to damages, but not to rescind the contract. “Warranty means an agreement with reference to goods which are the subject of a contract of sale, but collateral to the main purpose of such contract, the breach of which gives rise to a claim for damages, but not to a right to reject the goods and treat the contract as repudiated.” It is therefore used in precisely the same sense in a contract for the sale of goods as in other types of contract.

1. **Warranty of Dispossession**: it is an obligation of the seller that the seller shall warrant the buyer against any total or partial dispossession, which he might suffer in consequence of a third party exercising a right he enjoyed at the time of the contract. Hence the seller can not transfer to buyer what he does not own.

2. **Warranty against Defects in Goods**: The seller shall guarantee to the buyer that the thing sold conforms to the contract and is not affected by defects in addition to the warranty of dispossession. Non conformity may be present when goods

Warranty against Defects in the Thing:

The seller shall guarantee to the buyer that the thing sold conforms to the contract and is not affected by defects in addition to the warranty of dispossession. Non conformity may be present when goods

- Does not possess the *quality required for its normal use* or *commercial exploitation*; Ex. S and B agreed for sale and purchase of marker for white board. However S delivers chalk.
- Does not possess the quality required for *its particular use* as provided expressly or *impliedly in the contract*; (warranty of fitness for particular use) or; B agreed to buy paint for his iron sheet doors and windows with S. Yet S delivers paints for walls.
- Does not possess the *quality or specifications* provided expressly or impliedly in the contract (warranty of fitness specified in the contract). Ex. B agreed to buy Computer from S detailing that he needs it for editing and graphics works and required him 1TB HD, 21' Inch Screen width, Speed with 32GZH HP branded computer. However S delivered 500GB HD, 15' Inch Screen width, Speed with 6GZH Toshiba brand.
- Where the seller delivers **the correct type of quality of goods mixed with others of a different description** not included in the contract, the buyer can reject the whole, or he can accept the correct goods and reject the incorrect ones. Although the Act does not in this instance specify, it must be implied that if the buyer adopts the latter option, he must pay at the contract rate for the goods he accepts.

Warranty Against non Conformity

A seller, in addition to warranty against dispossession and defect, has the obligation to warrant against non-conformity of the thing. As per Article 2288(1) which provides that:
The thing shall not be deemed to conform to the contract where:

(a) The seller delivered to the buyer **part only of the thing sold** or a **greater** or **lesser quantity** than he had undertaken in the contract to deliver; or Ex. if the seller agrees to deliver 10000 quintals of Derba Cement, he breaches the warranty against non-conformity when he delivers cement with 5000 quintal or 11000 quintal.

(b) The seller delivered to the buyer a thing different to that provided in the contract or a thing of a different species. Ex. if the seller agrees to deliver a Sony TV set, he breaches the warranty against non-conformity when he delivers a tape recorder or JVC TV set as tape recorder is a different thing and JVC TV set is a thing of different species.

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A. Obligation To Pay Price

The buyer has the obligation to pay the price and take delivery of the thing. The price is the amount of money that the buyer undertakes to pay to the seller in consideration of a thing. It is the cost at which a thing is bought.

The buyer must appropriately discharge all obligations under contract to avoid suit on non- performance of contract of sale. In this regard, article Art. 2303 provides that:

(1) The buyer shall pay the price and take delivery of the thing.

(2) He shall be bound by any other obligation imposed upon him by the contract of sale.

The obligation of the buyer to pay price includes the obligation to take any steps provided by the contract or by the custom to arrange for or guarantee the payment of price, according to Art 2304. For example, the contract of sale may provide that the buyer should pay the price in check. In this case the buyer must **open account in bank** and **deposit money in the bank from which he orders payment to the seller**. Thus, the buyer fails in his obligation to pay price if he does not open an account in a bank. The parties to the contract may agree that the buyer would pay the price after delivery of the thing provided the buyer gives **security to the seller**. In such case, the buyer's obligation to pay price includes the obligation, for example, to give surety.

Obligation to take delivery of the thing

The buyer must take necessary steps to complete the delivery according to article 2313 which provides that: It include the obligation to go to the place of the business of the seller and physically receive the thing from the seller or to keep the buyer's store opened if delivery is to be made at the buyer's place.

Quality of Goods Delivered

The Civil Code of Ethiopia makes provision for the buyer's rights should the seller deliver the wrong quality of goods. The seller has a strict duty to deliver the precise quantity stipulated in the contract, and if he fails to do so the buyer is entitled to reject them. The following are sets out as the buyer's options:

- Where the seller delivers **less than the correct quantity**, the buyer may reject them all. But if he does accept what has been delivered, he must pay pro rata at the contract rate (e.g. if the contract was for 10 articles at ETB 1 each, and 8 are delivered, then if the buyer accepts them he must pay ETB 8).
- Where the seller delivers **more than the contract quantity**, the buyer has three options – he can reject the lot; or he can accept the correct quantity and reject the rest; or he can accept the whole lot, and pay at the contract rate for all.
- Finally there is a let-out, in that the section is “subject to any usage of trade, special agreement, or course of dealing between the parties”. In spite of the seller's duty to supply the correct quantity being strict. This means that if the difference in quantity is minute, and such as not to have any effect on the contract as a commercial reality, the buyer will not be permitted to take advantage of a trivial variation in order to escape from his liability to accept and pay.